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G10 and EM Strategy and US Economics

Carry On, Calm Is Coming

Where are you going now, FX vol? Where will you be tomorrow? We think FX calm will persist into September as Fed and geopolitical risks fade, supporting carry. We favor short EUR/AUD, exit short EUR/CHF, and stay constructive on TRY and Egyptian T-bills.

Key Takeaways

- Fed repricing, fading geopolitical risks, post-intervention JPY declines and seasonal quiet all point to subdued FX volatility.
- Low volatility should support carry; an AR-GARCH model's 90% prediction interval for two-month-ahead realized FX vol is 5.8 to 8.2, below the historical median.
- In G10, we recommend short EUR/AUD: AUD offers the highest G10 forward-implied yield, while euro area policy pricing and growth look vulnerable.
- In EM, we remain constructive on TRY carry and Egyptian six-month T-bills, backed by stronger policy credibility and external buffers.

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Currency & Foreign Exchange

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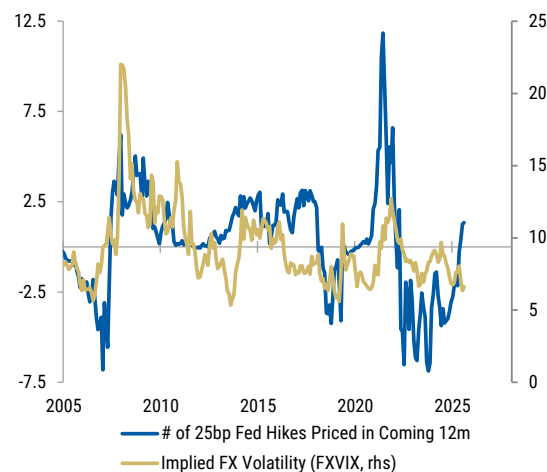
Subdued FX volatility may continue

Realized and implied G10 FX vol are low, and we think they stay low into late August and early September. Four reasons:

1. Fed hike risks may be increasingly priced out. Our economists expect data releases between now and the September Fed meeting to stay consistent with the Fed on hold through year end. We expect downward pressure on FX volatility given the modest long-term relationship between Fed pricing and FX volatility ([Exhibit 1](#) and [Exhibit 2](#)).

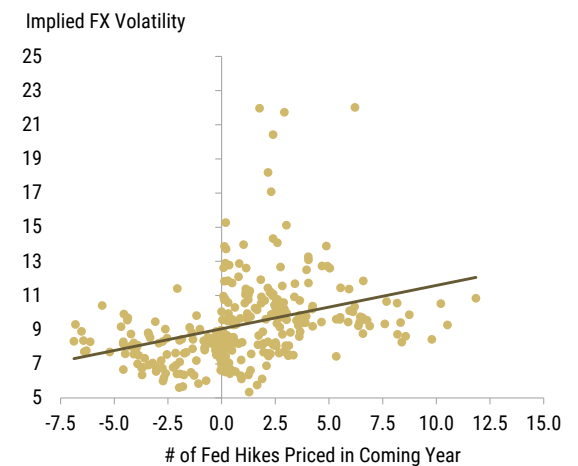
The July CPI print may contribute to this repricing in the Fed policy path, as it [implies a relatively subdued](#) 0.20% m/m Core PCE print in July.

Exhibit 1: Fed tightening expectations and FX volatility have broadly moved together



Source: Macrobond, Bloomberg, Morgan Stanley Research

Exhibit 2: More Fed tightening has historically coincided with higher FX volatility



Source: Macrobond, Bloomberg, Morgan Stanley Research

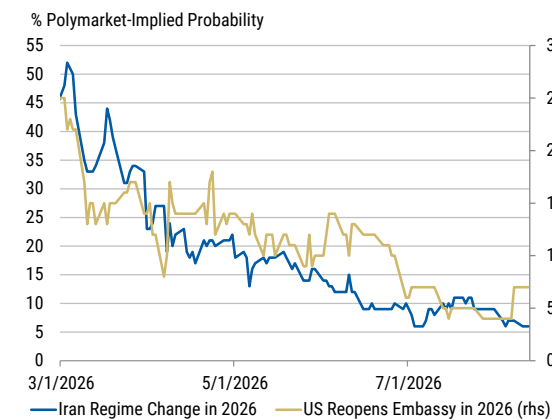
And with the Federal Reserve task forces likely to run for several more months (with the work of "most, if not all of them, concluding by year-end"), Jackson Hole may attract less market focus than in recent years. The venue matters most to markets when the

Committee uses it to signal a turn. This year, any potential announcement may follow the result of the task forces' examination.

2. Middle East tail risks may continue to be priced out. Following [indications](#) from the White House that the US will be "low-keying it," we think investors will be increasingly willing to discount geopolitical tail risks particularly ahead of the US midterms. We therefore anticipate a continued reduction in demand for protection against downside risks.

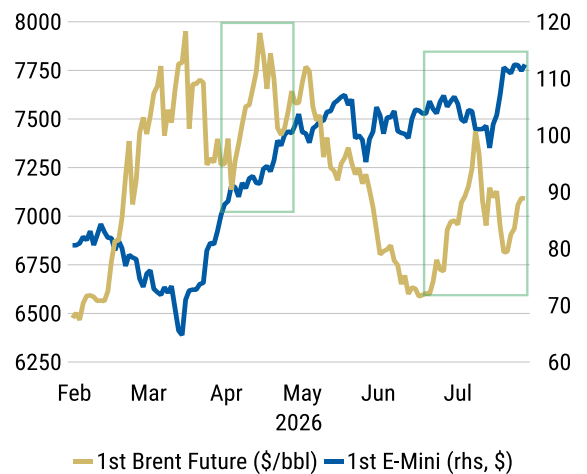
We note markets have already largely priced out near-term geopolitical tail risks ([Exhibit 3](#)). Broad risk demand has rebounded increasingly quickly after spikes in oil prices indicating markets' rising willingness to brush off geopolitical risks that boost commodity prices ([Exhibit 4](#)).

Exhibit 3: Markets have largely priced out near-term Iran tail risks



Source: Macrobond, Bloomberg, Morgan Stanley Research

Exhibit 4: US equities have rebounded rapidly after oil-price spikes



Source: Macrobond, Bloomberg, Morgan Stanley Research

3. JPY weakness following intervention may encourage placidity. JPY has not maintained post-intervention gains, and is now trading roughly 1.4% weaker than where it closed on Friday, July 31 ([Exhibit 5](#)). Post-intervention JPY weakness may lead investors to reduce hedges against a broad unwind of carry trade positions (as occurred in July 2024 after a BoJ hike and MoF intervention in USD/JPY - see [Exhibit 6](#)).

Exhibit 5: JPY has surrendered part of its post-intervention gains

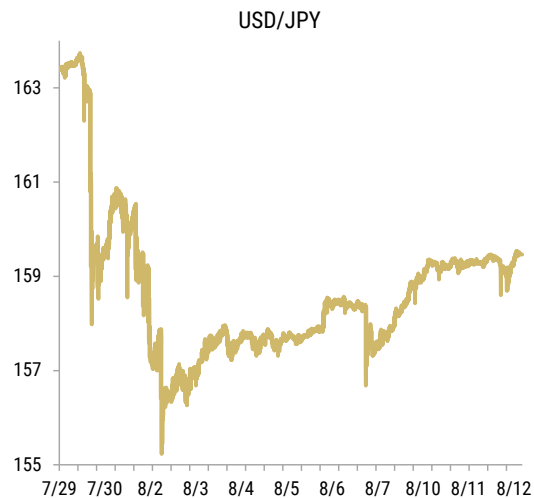
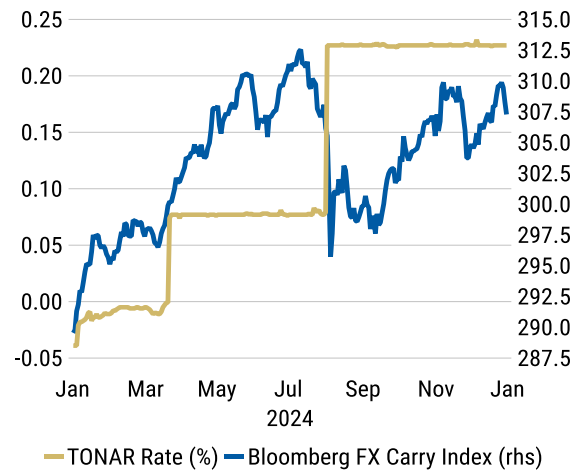


Exhibit 6: The 2024 BoJ tightening episode coincided with a sharp carry unwind

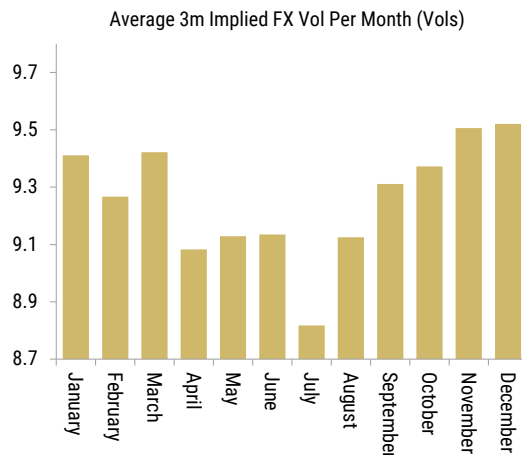


4. Historical patterns: August is historically quiet. Since 2002, August has recorded relatively low average G10-implied volatility of the summer months, averaging 9.1 implied vols against a 9.3 all-month average ([Exhibit 7](#)). We see no reason to expect this year will differ.

The Jackson Hole Symposium will be held from August 27-29, and has historically been a catalyst for rising volatility. Our economists do not expect significant market-moving announcements at the symposium, in part because of its focus on financial innovation; many of the sessions are focused on topics including stablecoins and digital currencies.

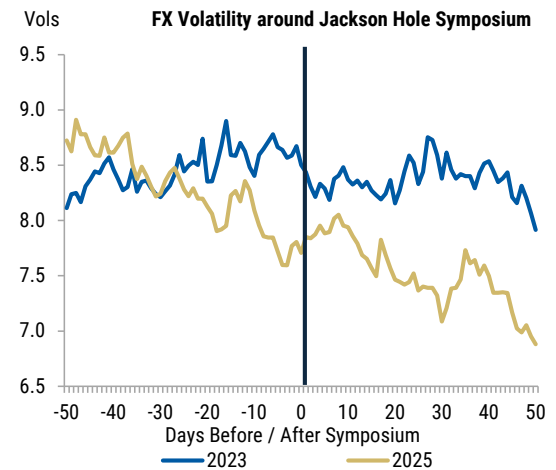
Therefore, we expect the market reaction may more closely resemble [2023](#) and [2025](#), when FX volatility shrugged off a dovish (or otherwise unsurprising) tone from Fed leadership. We do not anticipate a market-moving message as occurred in 2022 when Fed Chair Powell [signaled](#) that reducing inflation would involve "some pain;" the Fed then delivered a 75bp hike less than a month later.

Exhibit 7: August is historically among the quieter months for G10 FX volatility



Source: Macrobond, Bloomberg, Morgan Stanley Research

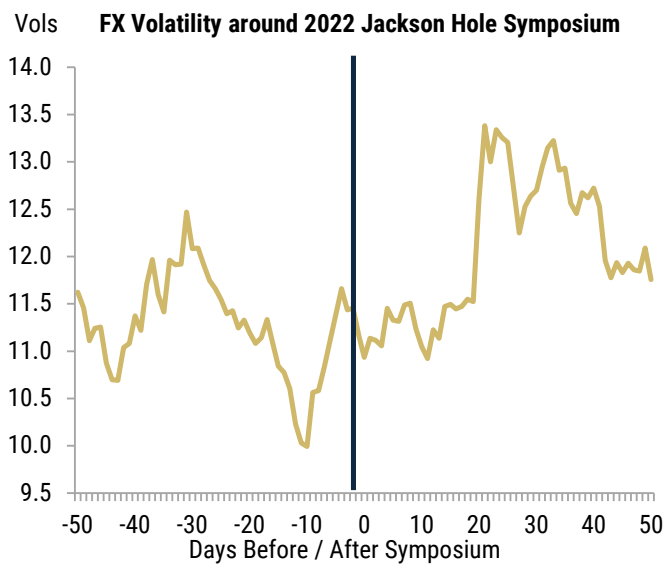
Exhibit 8: FX volatility eased after Jackson Hole in 2023 and 2025



Source: Macrobond, Bloomberg, Morgan Stanley Research

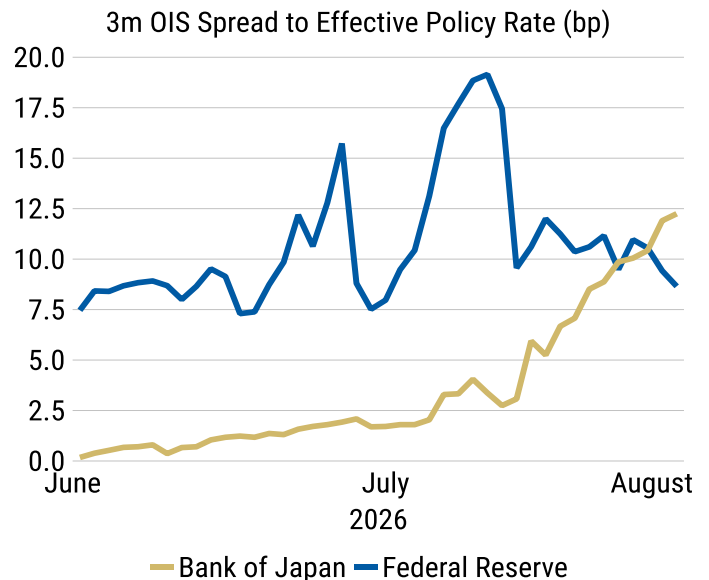
Volatility historically rises in September, but this year may be different. Labor Day is relatively late this year. Post-Labor Day trading will commence on September 8, more than 25% of the way through the month.

Exhibit 9: FX volatility rose sharply after Jackson Hole in 2022



Source: Macrobond, Bloomberg, Morgan Stanley Research

Exhibit 10: Near-term OIS pricing embeds meaningful Fed and BoJ hike risk



Source: Macrobond, Bloomberg, Morgan Stanley Research

And market pricing is currently consistent with a roughly 40% chance of a 25 basis point Fed rate hike in September, and a 77% chance of a 25 basis point rate hike from the Bank of Japan two days later. Our economists expect both central banks to stay on hold, which may have the effect of calming markets and encouraging traders to reach for carry.

FX Volatility and the Carry Trade

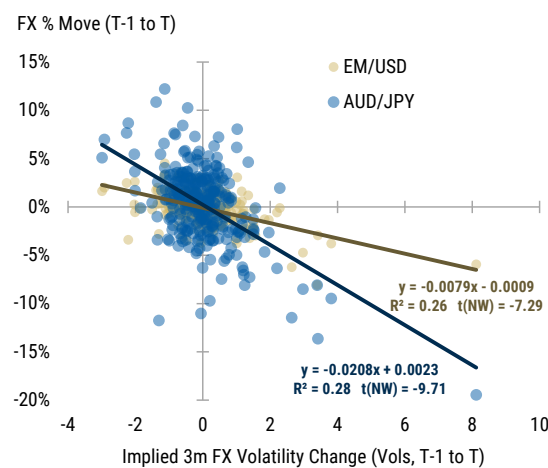
FX carry trades perform well when FX volatility declines. There is some modest evidence

they also do well *after* FX volatility declines, and carry trades perform well (particularly long MXN/JPY and long INR/JPY) if FX volatility is simply low.

Unsurprisingly, FX carry trades perform well when FX volatility declines. [Exhibit 11](#) and [Exhibit 12](#) show that AUD/JPY typically rises and USD declines against emerging market currencies (measured via the Fed's EME USD index) during months when FX volatility declines (and vice versa).

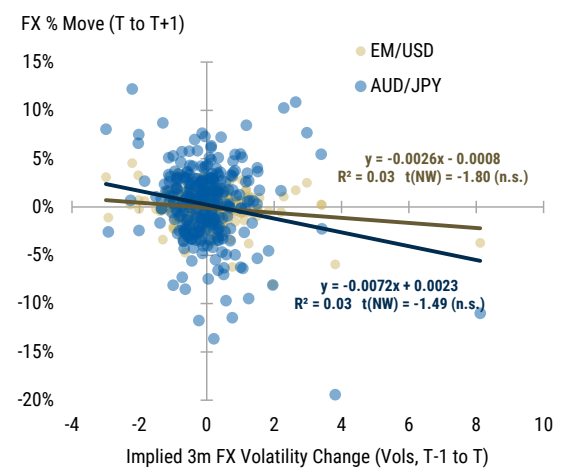
AUD/JPY rises by 2% and USD/EM declines by 0.8% on average when composite FX volatility (as measured by our FX VIX indicator) declines by one vol.

Exhibit 11: Carry proxies gain as implied FX volatility falls



Source: Macrobond, Bloomberg, Morgan Stanley Research

Exhibit 12: The next-month carry signal from volatility changes is modest

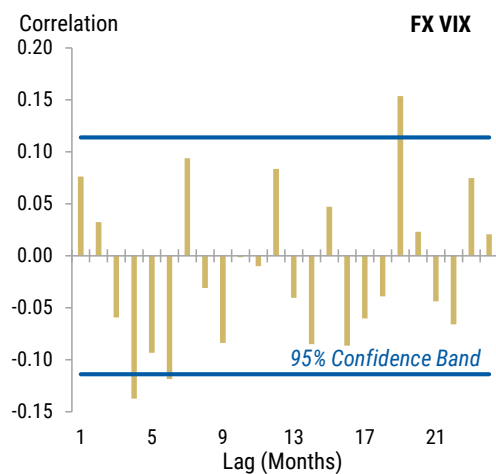


Source: Macrobond, Bloomberg, Morgan Stanley Research

FX carry trades tend to continue gaining on average during the month *after* FX volatility declines. This finding is not obvious because FX volatility exhibits little serial correlation ([Exhibit 12](#)).

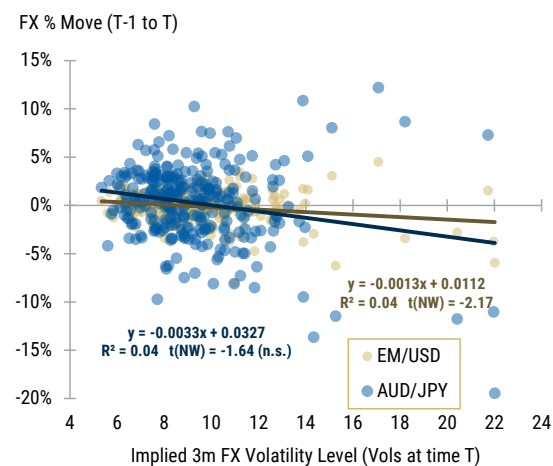
The size of the carry trade returns after moves in FX volatility is small, but monthly FX returns are noisy. Therefore, a variable explaining a modest percent of next-month variation may be useful. Note that the Newey-West t-statistics on the EM/USD coefficient on the following month's FX moves are significant at the 90% level.

Exhibit 13: Monthly changes in FX volatility show little serial correlation



Source: Macrobond, Bloomberg, Morgan Stanley Research

Exhibit 14: Carry proxies tend to perform better when FX volatility is low



Source: Macrobond, Bloomberg, Morgan Stanley Research

Using a data set from 2001 - 2026, we generalize [Exhibit 14](#) by investigating the relationship between average G10 and EM currency moves and the level of the FX VIX.

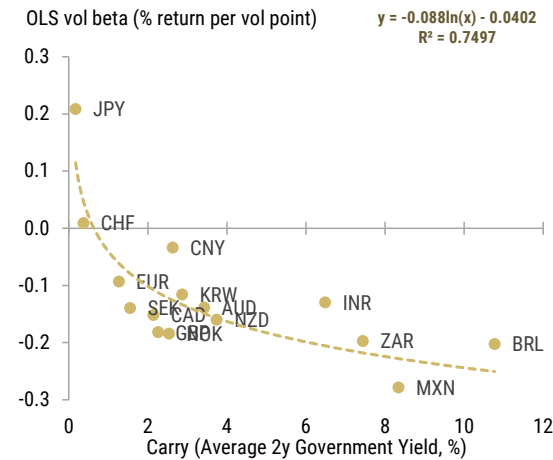
The y-axis on [Exhibit 15](#) shows the OLS beta from regressing each currency's CCY/USD returns on the level of FX VIX (as shown for EM/USD in [Exhibit 14](#)). The X axis is the average carry each currency offered over the full data set (0.2% for JPY, 10.7% for BRL).

The chart shows clearly that higher carrying currencies gain more when vol is low, and decline more when vol is high.

[Exhibit 16](#) is the same chart, but shows the Newey West t-statistic for each of these regressions. The conclusion is equally (if not more) useful: not only do higher carrying currencies rise *more* when vol is low (and vice versa), they rise more *reliably* when vol is low (and vice versa).

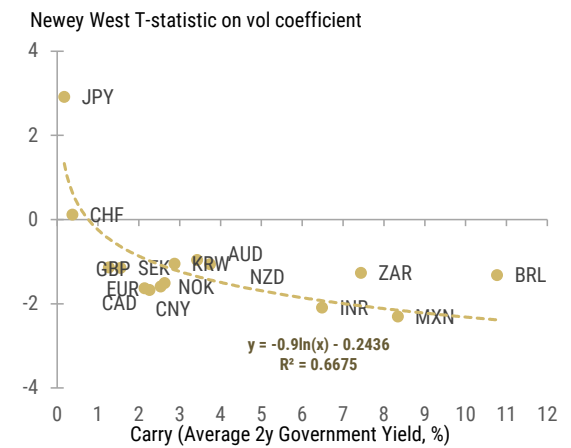
Three currencies have absolute Newey–West t-statistics above 1.96, the conventional 5% two-sided threshold: JPY (declines when vol is low) and INR and MXN (gain when vol is low).

Exhibit 15: Higher-yielding currencies have more negative FX volatility betas



Source: Bloomberg, Morgan Stanley Research

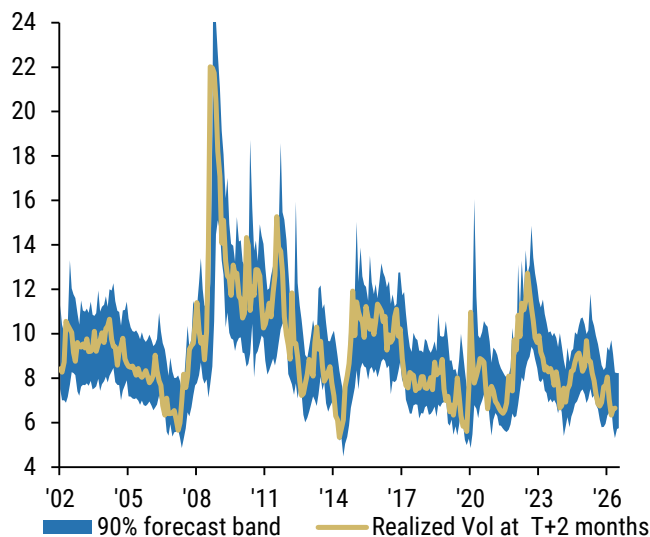
Exhibit 16: Very high or very low carrying currencies show more robust negative sensitivity to volatility



Source: Bloomberg, Morgan Stanley Research

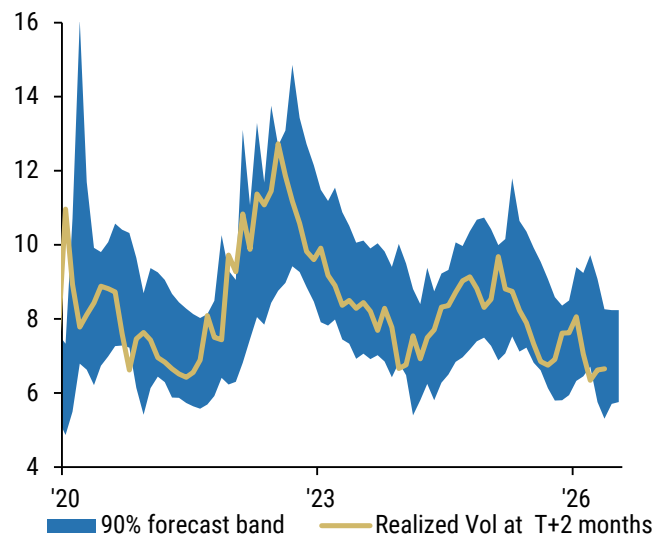
Will vol stay low? We think so. To forecast near-term volatility, we run an AR(1)-GARCH(1,1)-t model, which provides a 90% band of FX realized vol two months ahead. As [Exhibit 17](#) illustrates, after two months realized volatility has been within the model-forecast band in 90.1% of months since 2002. That model now provides a 90% FX vol prediction interval of 5.8 to 8.2, well below the 8.8 historical median ([Exhibit 18](#)).

Exhibit 17: Historical coverage of the model's two-month prediction interval is close to 90%



Source: Bloomberg, Morgan Stanley Research

Exhibit 18: The model points to a 5.8–8.2 FX volatility range over the next two months



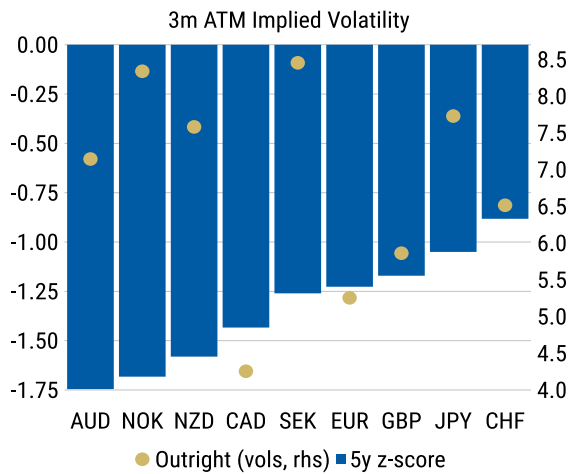
Source: Bloomberg, Morgan Stanley Research

G10 Trade Expression

We recommend short EUR/AUD positions to reflect our expectation that FX volatility will remain subdued. Forward-implied AUD yields are highest within G10, and implied volatility is very low relative to its own history. We think these two facts will attract capital flows

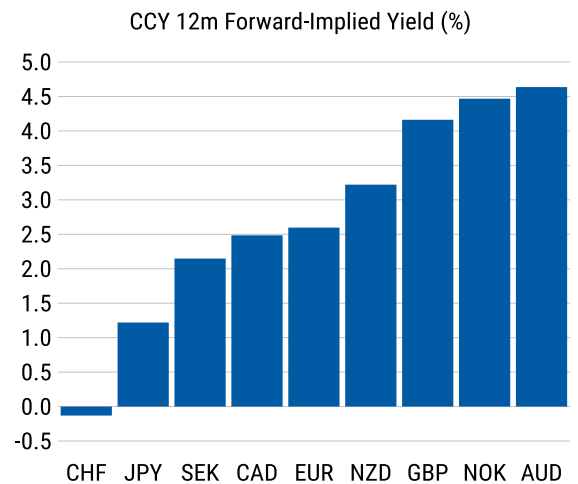
to Australia in relatively calm FX markets.

Exhibit 19: AUD-implied volatility is low both outright and relative to history



Source: Macrobond, Bloomberg, Morgan Stanley Research

Exhibit 20: AUD offers the highest 12-month forward-implied yield in G10

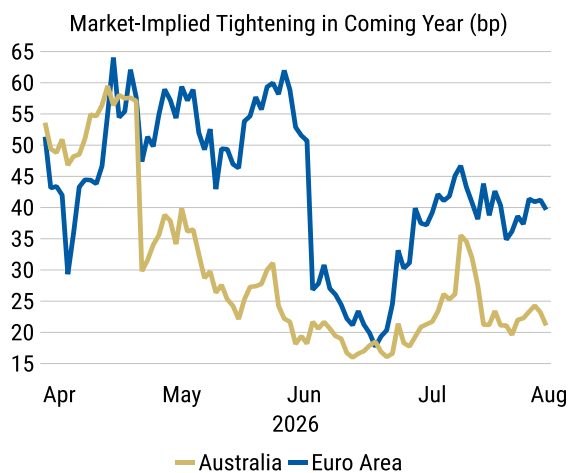


Source: Macrobond, Bloomberg, Morgan Stanley Research

We choose EUR as a funder for several reasons. EUR is a cheaper funder than the USD, and market pricing is now significantly above our economists' forecast for one additional ECB hike ([Exhibit 21](#)).

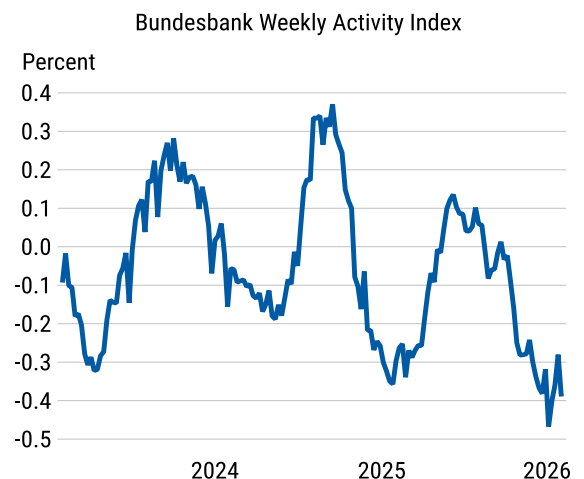
On growth, our economists [note](#) that stronger-than-expected 2Q euro area growth "is not a shift to high growth." They note constrained household demand in parts of the euro area, and constrained fiscal space due to defence, ageing, and interest costs. European gas inventories are also likely to enter winter unusually low, increasing the sensitivity of activity to weather and LNG availability. German growth looks particularly challenged ([Exhibit 22](#)).

Exhibit 21: Markets price more tightening from the ECB than from the RBA



Source: Bloomberg, Morgan Stanley Research

Exhibit 22: German activity momentum has deteriorated sharply



Source: Macrobond, Morgan Stanley Research

We recommend short EUR/AUD targeting the 2023 lows at 1.53 as markets shift the implied ECB policy path lower and stretch for carry with long AUD positions. We set a relatively wide stop for this trade, as the low volatility environment means that it will be

more likely to grind towards 1.53 than to move abruptly.

The risk to this trade is that inflation continues accelerating in the euro area, necessitating a higher ECB policy rate than our economists expect. We recommend closing short EUR/CHF positions, as a low volatility environment may be a headwind to long CHF positions.

- **Trade idea: Enter short EUR/AUD at 1.6634 with a target of 1.53 and stop of 1.69**
- **Trade idea: Exit short EUR/CHF at market**

Strong Buffers, Strong Carry: Long TRY and Egypt

Arnav Gupta

The recent period of Middle East volatility has reinforced our constructive view on carry trades across both Turkey and Egypt, with both economies proving more resilient than in previous episodes of stress. Improved policy credibility, stronger external buffers, and limited portfolio outflows have helped sustain investor confidence despite heightened uncertainty. We continue to see attractive opportunities to earn carry, particularly as regional tensions stabilise and investors re-engage with high-yielding EM assets. Overall, we remain positive on both Turkey and Egypt, viewing them as two of the more compelling carry opportunities in the CEEMEA region.

Turkey: Short 3m USD/TRY forward

Carry Remains Attractive Despite Higher Geopolitical Risk: We remain constructive on TRY carry, despite the recent geopolitical volatility. While the CBT has allowed a somewhat faster pace of depreciation, the crawl continues to run below what is implied by forwards, preserving attractive carry returns. Importantly, the recent Middle East escalation acted as a real-world stress test for the policy framework. Unlike previous episodes, local dollarisation remained contained, reserve buffers proved sufficient to absorb outflows, and policymakers relied largely on orthodox tools. As regional tensions continue, we have already begun to see carry inflows return, with carry positioning close to pre-conflict levels. We like to stay short USD/TRY in the 3-month horizon. The key risk to the trade is risk-off sentiment leading to concentrated outflows.

Policy Credibility Supports the Medium-Term Story: Looking ahead, the key risk for TRY is not the pace of depreciation itself, but a potential deterioration in inflation expectations driven by higher energy prices. However, we think policymakers have demonstrated a willingness for higher rates and tighter liquidity conditions to continue the disinflation path. We expect real rates to stay higher for longer and that should allow carry investors to continue to stay invested in Turkey.

Egypt: We prefer long 6M T-Bills, which offer a meaningful pickup over FX, while NDFs remain a good alternative for investors seeking carry exposure without accessing the local market.

Resilience Through a More Flexible FX Regime: We remain constructive on Egypt's external outlook, as the economy has navigated the recent period of regional volatility far better than previous crises. The move to a more flexible exchange-rate regime has improved the economy's ability to absorb shocks, helping preserve investor confidence and limit portfolio outflows. Strong remittances, resilient tourism flows, and healthy reserve buffers have all supported the external position, which we think leaves Egypt in a stronger starting position than during past episodes of stress.

Carry Rather Than FX Appreciation Is the Main Opportunity: While lower oil prices and improving regional sentiment could allow USD/EGP to gradually retrace toward pre-conflict levels, we do not view Egypt primarily as an FX appreciation story. Instead, the attraction lies in the combination of stable FX and attractive carry, particularly through 6-month local bills. Even if USD/EGP remains broadly range-bound, current yields offer a

compelling return profile. The main risk would be a sharp and sustained rise in oil prices that triggers a broader risk-off environment and renewed pressure on the currency, but absent such a scenario, we think Egypt remains a compelling carry destination.

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Long 6-month EGP T-Bills (FX-Unhedged)	89.6	26-Jun-26	We initiate bullish bias towards EGP-denominated assets as we see the macroeconomic backdrop remaining supportive. We prefer to express our view via T-Bills given the significant pick-up offered relative to FX-implied yields. Potential for a further normalisation in ME and low oil prices should provide support for the external balances and the currency.	Risk-off sentiment leading to concentrated outflows.
Short 3m USD/TRY forward	51.51	13-Aug-26	With the CBT keeping real rates high, the economic programme remaining solid, and Middle East developments becoming less significant for market participants, we continue to like the carry trade in Turkey.	The CBT cutting rates faster than market expectations.
Short EUR/AUD	1.6634	14-Aug-26	Markets may shift the implied ECB policy path lower and stretch for carry with long AUD positions.	Inflation continues accelerating in the euro area, necessitating a higher ECB policy rate than our economists expect.

Source: Morgan Stanley Research

Exhibit 23: History of recommendations

Short 3m USD/TRY										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re-assess	Size of Trade or Unit/Rational
USD/TRY		3M	Short USD/TRY 3month	20-May-2025	42.66	20-Aug-2025	40.89	39.50	44.0	
USD/TRY		3M	Short 3m USD/TRY FX Forward	24-Sep-2025	44.75	26-Dec-2025	42.8475	43.20	45.5	10
USD/TRY		3M	Short 3m USD/TRY FX Forward	15-Jan-2026	46.17	16-Apr-2026		44.6	47.2	10
USD/TRY		3M	Short 3m USD/TRY	22-Apr-2026	48.7	24-Jul-2026	47.3391	46.84	47.1	10
Long 6m T-Bills Egypt										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re-assess	Size of Trade or Unit/Rational
Egypt Bill	EGYTB 0 12/22/2026 Corp	6M	Long 6m T-Bills Egypt	26-Jun-2026	89.67			100	86	10

Source: Morgan Stanley Research

Definition of terms

Buy/Long: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be positive over the relevant time period.

Sell/Short: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be negative over the relevant time period.

Selling protection or Buying Risk: The analyst expects that the price of protection against the event occurring will decrease over the relevant time period.

Buying protection or Selling Risk: The analyst expects the price of protection against the event occurring will increase over the relevant time period.

Pay: The analyst expects that over the specified time period the variable rate underlying

the swap agreement that is the subject of the investment recommendation will increase.

Receive: The analyst expects that over the specified time period the variable rate underlying the swap agreement that is the subject of the investment recommendation will decrease.

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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